

By **Naushad Forbes**

FIRING INDIA INC'S AMBITION

India has the potential to become a global giant in manufacturing. For that, our industry must take bold steps forward and the government a step back



This special issue of INDIA TODAY asks: How can India become a global giant? That eventual outcome is not in doubt. If we keep growing at the 6.5 per cent we have averaged for the past 30 years, we will soon be one of the three largest economies in the world. We will go on to be a huge economy by 2047, by dint of having the world's largest population. But we will not yet be rich—as an upper-middle income country, we will be well below today's developed world. To do better, we must place manufacturing and the ambition of Indian firms at the heart of development.

First, a word about policy: this is not an article arguing that the government must do a list of things. The state's role, in my view, is to limit itself to only those things that only it can do. In manufacturing, the state should primarily adopt a hands-off approach—don't choose technologies, don't select firms, don't promote particular industries, and don't incentivise particular sectors. That is, enable all of Indian industry; don't attempt to pick winners. Our industrial policy should seek a future that looks like Germany, with thousands of specialised world leaders, rather than China or South Korea, each with a few dozen giant state-sponsored champions.

But if I ask less of the state to make us a great power more quickly, I ask much more of Indian industry. As I have argued at length in my book, *The Struggle and the Promise: Restoring India's Potential*, Indian industry must strive to be more of these four I's: inclusive, international, innovative and independent.

1. Inclusive: In the 1990s and 2000s, the Indian consumer goods industry grew at a rate faster than GDP. The latest Economic Survey indicates that consumption is growing at 4 per cent, roughly half the rate of GDP growth. This is a failure of inclusion. We have millions eager to become first-time buyers of restaurant meals, refrigerators, hospital services, holidays, motorcycles, ready-made clothes and toothpaste. We need to bring 700 million more into the consumer class. If we do this, we will create wealth for all of Indian industry. This will take a focus on skills and education in everything Indian industry does beyond its gate. The 2024 budget supports this activity with incentives for internships; it is in our collective industrial interest to improve school outcomes and skill our population.

Illustration by **NILANJAN DAS**